

Calderwood Partners LLC

www.calderwoodpartners.com

March 22, 2020

Julie Gonzalez
Director of Operations
Stark-Wilson

Re: Channel Strategy for Stark-Wilson

Dear Ms. Gonzalez:

This letter sets out the terms on which we will examine the channel strategy of Stark-Wilson and records our agreement to carry the work out. The question you have put to us is a single one: through which channels should Stark-Wilson reach its market, and on what commercial terms, so that the company grows where growth pays and stops spending to hold volume that costs more to serve than it returns. Below you will find the scope, the people who will carry it, the fee and the start, and the standard terms our work runs under, so that both sides begin from one understanding of it. Once you have countersigned and returned a copy, this letter is the agreement between us.

What the work covers

The engagement looks at how Stark-Wilson sells and delivers across its channels, and at where the present mix helps or hinders the results the business wants. We will begin by setting the channels out as they stand: the customers each one reaches, the volume and margin it carries, and the full cost to serve behind it, both direct and indirect. Against that picture we will find where the current arrangement wins business worth having and where it holds on to business at a price the company would not choose if the whole cost were in view. From there we will recommend a channel strategy: which channels to lead with, which to hold, and which to change or step back from, together with what each choice asks of pricing, of sales coverage, and of support. We will show the reasoning under every recommendation, and we will say plainly where the underlying data is thinner than we would like.

Two matters sit outside this letter. We are not retained to carry out the changes we recommend; our work ends with a strategy and a plan your own people can act on, and any help putting it into effect we would agree under a separate letter. We are also not reviewing the individual contracts you hold with particular customers or distributors, which is a distinct question we would open separately if you wished it examined. Where the work runs up against something we are not engaged to answer, we will say so and stop, instead of guessing at it.

The team

Deborah Jimenez, Engagement Manager, will run the engagement day to day and will be your point of contact on anything touching its conduct or its timing. Joseph Reed, Research Associate, will build the channel, margin, and cost-to-serve analysis the recommendations rest on, and will prepare the written record you receive between our reviews. I will stay close to the work and will read what leaves this office under the firm's name, as I do with everything we send a client. You should expect working sessions with your team, minutes of those sessions, status reports written for you, and a briefing to your wider group once the analysis is firm enough to stand behind. We will not change the people on your engagement without telling you first.

Fee and start

Our fee for the engagement is a fixed fee of \$71,000, which covers the whole of the work described above. It is a fixed sum and not a rate billed against hours, and it will not move unless the scope itself changes and we set that change down in writing. We propose to begin on April 1, 2020, subject to your countersignature and to our receiving the channel sales records and the cost data the analysis needs. We expect the work to run for roughly five months from the start, with the pace of the later stages depending in part on how quickly your team can put those records in front of us.

Fees and payment

We invoice the fixed fee in equal monthly installments across the term, each invoice payable within thirty days of its date. Reasonable expenses incurred at your request, such as travel, are billed at cost and shown separately from the fee; we will not commit any single expense of consequence without your agreement first. Work outside the scope set out above is not begun on assumption. If you ask for something this letter does not cover, we will quote it and wait for your written authorization before we start.

Term and termination

The engagement begins on the start date named above and continues until the work is complete and our final invoice paid. Either of us may end it on fifteen days' written notice to the other. If the engagement ends early, you owe the fee earned for the work performed to the effective date of the notice, together with expenses already committed, and nothing beyond that. We will hand over our work product in the state it then stands, with a written note of what remains unfinished; an unfinished analysis is not a recommendation and should not be read as one.

Confidentiality

We will hold the information you give us in confidence and use it only for this engagement. Access is limited to the team named above and to those in our office whose work requires it. We treat your commercial and operating data as confidential whether or not it is marked so, and we will return or destroy it at your request once the work is done. We will not disclose it outside the firm without your written

consent, except where a court or a regulator with jurisdiction compels us, and in that event we will tell you first if we are free to do so. This obligation outlasts the end of the engagement.

Limitation of liability

Our responsibility is to bring professional care and judgment to the analysis and the advice. The decisions that follow from it, and the results of acting on them, rest with Stark-Wilson. Except in the case of our own fraud or willful misconduct, our total liability arising out of this engagement, whether framed in contract or in tort, will not exceed the fees you pay us under it, and neither of us will be liable to the other for indirect or consequential loss. Our analysis rests on the accuracy of what you give us; where that information proves materially wrong, the consequences of the error are not ours to carry, though we will tell you promptly when we have reason to doubt what we have been handed.

Governing law

This agreement is governed by the laws of the state in which our principal office sits, without regard to its conflict-of-laws rules. Before either of us takes a dispute to another forum, we will try in good faith to settle it between senior people on both sides. This letter is the entire agreement between us on its subject and supersedes anything said before it, and it may be amended only in writing signed by both of us.

If these terms reflect your understanding, please sign both copies where indicated, keep one for your file, and return the other to this office. If any part of them does not, telephone me and we will settle it before you sign. We are glad to be taking on this work for Stark-Wilson, and we will be ready to begin as soon as the letter is back.

Very truly yours,

Julie Ramsey

Managing Principal

Date: March 22, 2020

Julie Gonzalez

Director of Operations, Stark-Wilson

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